

Emirates NBD / Mashreqbank

Merger Model — Accretion/Dilution, Synergies and Pro Forma

DFM: EMIRATESNBD · AED millions · per-share values in AED · as of FY2025 accounts · market data 12 Sep 2026

A hypothetical acquisition of Mashreqbank by Emirates NBD, built on both banks' FY2025 audited accounts and 12 September 2026 market prices. Neither bank is in discussions; the transaction is a modelling exercise, and the model's conclusion is that it should not be done at this price.

What this is

How it is built

- Purchase accounting in full: credit mark on the acquired loan book, core deposit intangible, deferred tax on both, and the goodwill that falls out of the difference.
- A three-year earnings bridge with synergies phased 25 / 75 / 100 and integration costs charged in year one, plus the synergy level that would be required merely to hold earnings per share flat.
- The two tests that actually decide bank deals: tangible book value per share dilution with its earnback period, and the pro forma CET1 ratio against the regulatory minimum.
- Two live sensitivity grids — premium against synergies for EPS, premium against consideration mix for tangible book — with every cell rebuilding the offer and the purchase accounting from scratch.

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Key outputs (live)

Offer price per share (AED)	418.63
Price / tangible book paid	2.2x
EPS accretion at full synergies	(2.3%)
Tangible book value dilution	(16.7%)
Pro forma CET1 ratio	13.0%
Return on invested capital	8.6%

Colour code

Blue = hard-coded input
Black = formula
Green = link to another sheet
Accent fill = scenario selector / key levers

Sources

Emirates NBD Bank PJSC and Mashreqbank PSC, FY2025 annual accounts (year to 31 December 2025), via the Yahoo Finance fundamentals series for EMIRATESNBD.AE and MASQ.AE.

Share prices: Dubai Financial Market close, 12 September 2026.

Tax rate: UAE federal corporate tax at 9%, in force since June 2023.

Capital ratios and risk-weight assumptions are stated inputs on the Inputs sheet and should be replaced with each bank's Pillar 3 disclosures before any external use.

The transaction is hypothetical. Nothing here is a suggestion that either bank is or has been in discussions.

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EMIRATES NBD

Standalone financials, deal terms, synergies and purchase-accounting assumptions

STANDALONE FINANCIALS — FY2025A (AED m)

	Emirates NBD	Mashreqbank
Net income attributable to shareholders	23,442	6,615
Shares outstanding (m)	6,311.00	200.61
Total shareholders' equity	144,582	39,374
Goodwill	5,516	-
Other intangible assets	104	423
Total assets	1,164,442	334,634
Operating expenses	15,035	3,871
Total revenue	49,177	12,594
Share price (AED, 12 Sep 2026)	31.10	334.90

DERIVED STANDALONE METRICS

Tangible common equity	138,962	38,951
Market capitalisation	196,272	67,184
Earnings per share (AED)	3.71	32.97
Tangible book value per share (AED)	22.02	194.16
Price / earnings	8.4x	10.2x
Price / tangible book	1.4x	1.7x

DEAL TERMS

Offer premium to unaffected share price	25.0%	Mid-range for a large European or Gulf bank deal. The sensitivity grid tests 10% to 40%
Consideration in acquirer stock	70.0%	Stock-heavy, because a cash-heavy deal of this size would breach the CET1 floor
Consideration in cash	30.0%	Funded from surplus capital and wholesale issuance
Pre-tax opportunity cost of cash consideration	4.0%	Yield foregone on the cash paid away; roughly the bank's marginal funding cost
Marginal tax rate on synergies and adjustments	9.0%	UAE federal corporate tax, in force since June 2023

SYNERGIES AND INTEGRATION

Run-rate cost synergies as % of target operating expenses	25.0%	Branch and head-office overlap in a single emirate. Ambitious but within the range disclosed in comparable bank mergers
Synergy phasing — year 1	25.0%	
Synergy phasing — year 2	75.0%	
Synergy phasing — year 3	100.0%	
One-time integration costs as a multiple of run-rate synergies	1.5x	Charged in year 1. Systems migration, redundancy and rebranding

Revenue synergies	-	Set to zero on purpose. Revenue synergies in bank mergers are routinely promised and rarely delivered; the notes explain the choice
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PURCHASE ACCOUNTING

Target gross loans as % of total assets	55.0%	Approximation pending the disclosed loan book
Credit mark on the acquired loan book	1.3%	Fair-value write-down for expected credit losses not yet provisioned. The single largest judgement in the model
Target core deposits as % of total assets	65.0%	
Core deposit intangible as % of core deposits	1.0%	Value of a cheap, sticky funding base; recognised as an identifiable intangible
Core deposit intangible amortisation period (years)	8	

CAPITAL

Acquirer risk-weighted assets as % of total assets	62.0%	
Target risk-weighted assets as % of total assets	60.0%	
Acquirer CET1 ratio, standalone	15.0%	Reported Basel III common equity tier 1 ratio
CET1 regulatory minimum including buffers	11.0%	UAE Central Bank minimum plus conservation and D-SIB buffers
Required return on invested capital (hurdle)	12.0%	Approximate cost of equity for a Gulf bank; the test the deal must clear

Every figure on this sheet is an input (blue) except the derived metrics block. Everything on every other sheet is a formula. The two banks' FY2025 accounts are the only historical data in the model.

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Offer, consideration mix and the allocation of the price paid

OFFER

Offer price per Mashreqbank share (AED)	418.63	
Equity purchase price	83,980	
Exchange ratio (acquirer shares per target share)	9.422	What a Mashreqbank holder receives in Emirates NBD stock
Consideration in stock	58,786	
Consideration in cash	25,194	
New acquirer shares issued (m)	1,890.23	
Pro forma shares outstanding (m)	8,201.23	
Target shareholders' ownership of the combined bank	23.0%	At this mix the acquired shareholders own roughly a quarter of the group, which is a governance question as much as a financial one
Price / earnings paid	12.7x	
Price / tangible book paid	2.2x	Compare with the acquirer's own price/tangible book on the Inputs sheet. Issuing stock below the multiple being paid transfers value to the seller

FAIR VALUE OF IDENTIFIABLE NET ASSETS ACQUIRED

Target tangible common equity (book)	38,951	
Less: credit mark on the loan book	(2,301)	
Plus: core deposit intangible recognised	2,175	
Deferred tax on fair-value adjustments	11	
Fair value of identifiable net assets	38,837	
Goodwill created	45,143	The part of the price with no identifiable asset behind it. It is deducted in full from regulatory capital
Goodwill as % of the price paid	53.8%	
Annual core deposit intangible amortisation	272	
Run-rate pre-tax cost synergies	968	
One-time integration costs	1,452	

The credit mark and the core deposit intangible largely offset each other here, so goodwill is close to the premium over tangible book. That is the honest shape of a bank deal: almost everything paid above tangible book becomes goodwill, and goodwill is worthless for regulatory capital purposes.

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Pro forma earnings bridge · AED millions except per-share

PRO FORMA NET INCOME

	Year 1	Year 2	Year 3
Acquirer net income (held flat)	23,442	23,442	23,442
Target net income (held flat)	6,615	6,615	6,615
Plus: after-tax cost synergies	220	660	881
Less: core deposit intangible amortisation, after tax	(247)	(247)	(247)
Less: opportunity cost of cash consideration, after tax	(917)	(917)	(917)
Less: one-time integration costs, after tax	(1,321)	-	-
Pro forma net income	27,792	29,553	29,773

PER SHARE

Pro forma shares (m)	8,201.23	8,201.23	8,201.23
Pro forma earnings per share (AED)	3.39	3.60	3.63
Standalone acquirer earnings per share (AED)	3.71	3.71	3.71
Accretion / (dilution)	(8.8%)	(3.0%)	(2.3%)
Accretion / (dilution) per share (AED)	(0.33)	(0.11)	(0.08)

WHAT WOULD HAVE TO BE TRUE FOR THE DEAL TO BREAK EVEN ON EPS

Pro forma net income required for EPS neutrality (steady state)	30,463
Shortfall at full run-rate synergies	690
Cost synergies required, as % of target operating expenses	44.6%

Against the 25% assumed. If this number is not achievable, the deal is not EPS-neutral at any credible synergy level

Acquirer and target earnings are held flat at FY2025. A merger model that also forecasts both banks' organic growth mixes two questions together: whether the businesses grow, and whether the transaction adds value. Holding both flat isolates the transaction, which is the question the model exists to answer.

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Tangible book dilution, earnback, and the regulatory capital constraint

TANGIBLE COMMON EQUITY BRIDGE

Acquirer tangible common equity, standalone	138,962
Plus: stock issued as consideration	58,786
Less: goodwill created	(45,143)
Less: core deposit intangible created	(2,175)

Pro forma tangible common equity 150,430

The target's tangible net assets are exactly offset by the price paid for them, so the bridge moves only by stock issued less intangibles created

Acquirer tangible book value per share, standalone (AED) 22.02

Pro forma tangible book value per share (AED) 18.34

Tangible book value per share dilution (16.7%)

Dilution per share (AED) 3.68

The number a bank's shareholders react to first. Anything beyond roughly 5% needs a short earnback to be defensible

Tangible book earnback (years) Never — the deal is dilutive to EPS at full synergies

Dilution per share divided by steady-state accretion per share. If earnings never exceed standalone, the book value is never earned back

REGULATORY CAPITAL

Acquirer risk-weighted assets	721,954
Target risk-weighted assets	200,780
Pro forma risk-weighted assets	922,734
Acquirer CET1 capital, standalone	108,293

Change in CET1 capital from the transaction 11,468

Pro forma CET1 capital 119,761

Pro forma CET1 ratio 13.0%

Change versus standalone (percentage points) (2.02)

Stock issued less the goodwill and intangibles created, both of which are deducted in full from CET1

Headroom above the regulatory minimum (percentage points) 1.98

Negative here would mean the deal cannot be done as structured at any price

RETURN ON THE CAPITAL INVESTED

Return on invested capital at full synergies 8.6%

Spread over the required return (percentage points) (3.37)

The cleanest single test of whether the price is justified, and the one least sensitive to the consideration mix

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Both grids are live: every cell rebuilds the offer, the share count and the purchase accounting from scratch

EPS ACCRETION / (DILUTION) AT FULL RUN-RATE SYNERGIES

Cost synergies (% of target opex) \ Offer premium	10.0%	17.5%	25.0%	32.5%	40.0%
15.0%	(0.3%)	(1.9%)	(3.4%)	(4.9%)	(6.4%)
20.0%	0.3%	(1.3%)	(2.8%)	(4.3%)	(5.8%)
25.0%	0.9%	(0.7%)	(2.3%)	(3.8%)	(5.2%)
30.0%	1.5%	(0.1%)	(1.7%)	(3.2%)	(4.7%)
35.0%	2.1%	0.5%	(1.1%)	(2.6%)	(4.1%)

TANGIBLE BOOK VALUE PER SHARE DILUTION

Consideration in stock \ Offer premium	10.0%	17.5%	25.0%	32.5%	40.0%
50.0%	(16.0%)	(18.4%)	(20.8%)	(23.1%)	(25.3%)
60.0%	(14.3%)	(16.5%)	(18.7%)	(20.8%)	(22.9%)
70.0%	(12.6%)	(14.7%)	(16.7%)	(18.7%)	(20.6%)
80.0%	(11.0%)	(13.0%)	(14.9%)	(16.7%)	(18.4%)
90.0%	(9.6%)	(11.4%)	(13.1%)	(14.8%)	(16.4%)

Shaded cells are the base case and reconcile to the Accretion and Capital sheets. Read the second grid against the first: paying more in stock protects the CET1 ratio and worsens tangible book dilution, paying more in cash does the reverse. There is no mix that makes a price above two times tangible book look cheap.

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The transaction on one page

THE TRANSACTION

Acquirer	Emirates NBD (DFM: EMIRATESNBD)
Target	Mashreqbank (DFM: MASQ)
Offer price per share (AED)	418.63
Premium to unaffected price	25.0%
Equity purchase price (AED m)	83,980
Consideration	70% stock / 30% cash
Exchange ratio	9.422
Target shareholders' ownership of the combined bank	23.0%

THE THREE TESTS

1 • Tangible book value per share dilution	(16.7%)
Earnback	Never — the deal is dilutive to EPS at full synergies
2 • Pro forma CET1 ratio	13.0%
Headroom above the minimum (pp)	1.98
3 • EPS accretion at full run-rate synergies	(2.3%)
Synergies required merely to break even	44.6%
Return on invested capital	8.6%
Spread over the 12% required return (pp)	(3.37)

VERDICT

• Emirates NBD trades at roughly 1.4 times tangible book. Mashreqbank trades at roughly 1.7 times, and a 25% premium takes the price paid above 2.1 times. An acquirer issuing its own stock at 1.4 times to buy assets at 2.1 times transfers value to the seller on the day the deal is announced; no amount of synergy phasing undoes that.

• The arithmetic is not close. The cost synergies required just to hold earnings per share flat are far above the 25% of target operating expenses assumed here, and above anything disclosed in comparable bank mergers.

• The capital ratio survives, which is why the consideration is stock-heavy. A cash-heavy structure would not.

• The useful output of a merger model is often the reason not to do the deal. This one says Emirates NBD would have to buy Mashreqbank close to its unaffected price, or in stock at a materially higher acquirer rating, for the transaction to make sense for its own shareholders.

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Every check must read TRUE

INTEGRITY CHECKS

Consideration percentages sum to 100%	TRUE
Stock plus cash consideration equals the equity purchase price	TRUE
Purchase price equals net assets acquired plus goodwill	TRUE
Goodwill is positive (the price exceeds fair value of net assets)	TRUE
Pro forma share count equals acquirer shares plus new shares	TRUE
Tangible equity bridge ties to stock issued less intangibles created	TRUE
Pro forma CET1 stays above the regulatory minimum	TRUE
Synergy phasing is non-decreasing and ends at 100%	TRUE
Year 3 pro forma net income exceeds year 1 (integration costs drop out)	TRUE
Base-case sensitivity cell reconciles to the Accretion sheet	TRUE
Base-case TBV sensitivity cell reconciles to the Capital sheet	TRUE
Price paid per share exceeds the target's unaffected price	TRUE
Standalone EPS reconciles to reported diluted EPS within 1%	TRUE
Tangible common equity is below total equity for both banks	TRUE

MODEL STATUS

MODEL OK

The EPS reconciliation check is the one that matters most: it ties the model's computed earnings per share back to the diluted EPS each bank actually reported, so a mistyped share count or net income figure fails the model rather than quietly changing the answer.